

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

PERSIMMON AUGST, *Claimant*

v.

TRANSPARENT LOGISTICS LLC DBA TRANSPARENT
INTERNATIONAL, *Respondent*.

DOCKET NO. 2028(I)

Served: February 27, 2026

ORDER OF: Richard AMBROW, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

Claimant Persimmon Augst (“Claimant”) submitted a Claim, along with a memorandum and exhibits, alleging that Respondent Transparent Logistics LLC dba Transparent International (“Transparent” or “Respondent”), violated 46 U.S.C. §§ 41102(c) and (d), as well 46 C.F.R. §§ 515.32 and 545.4.

In short, Claimant alleges that she hired Respondent, a non-vessel operating common carrier (“NVOCC”), to help ship an antique piano with ivory keys from Germany to the United States. She alleges that the agreement between the parties made Respondent responsible for providing documents to import the piano into the United States. The piano, however, was subject to a lengthy examination upon entrance into the United States due to improperly completed paperwork related to the ivory piano keys. After the paperwork was properly completed, and the piano released, Respondent gave Claimant an allegedly unjust and unreasonable invoice; the invoice amount was several times more than the cost of the shipment itself. Further, Respondent allegedly refused to give Claimant information about the shipment. Claimant also alleges that Respondent’s employee called Claimant, even after Claimant had a representative, and allegedly tried to intimidate Claimant in response to Claimant’s statement that she would bring this matter to the Commission. Claimant seeks reparations, the waiver of all invoices, a refund of the fees she paid for the ocean transportation, a cease-and-desist order, and an order of investigation by the Commission.

Respondent argues that it was unaware that the piano had ivory. Moreover, after the U.S. Fish and Wildlife Service (“FWS”) flagged the container and had it pulled aside due to the

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

presence of the undisclosed ivory, Claimant did not timely provide proper paperwork for importing the ivory. Therefore, per the terms of the agreement between Claimant and Respondent, Claimant was responsible for the exam-related fees, which Respondent passed through to Claimant.

Upon reviewing the facts of this case, as well as the relevant law, Claimant's claims are all **DENIED**, and the Claim is **DISMISSED**.

II. BACKGROUND

A. Procedural Background

Claimant filed the Claim, along with a Memorandum ("Memo") and attachments, which were accepted for filing by the Office of the Secretary on March 25, 2025. The Notice of Filing of Small Claims Complaint and Assignment ("NOF") indicated that Respondent must file a response to the claim by April 21, 2025. (*See* NOF, at 1).

Respondent did not file a response by April 21, 2025. (*See* Notice of Assignment to Small Claims Officer ("NOASCO"), at 1). On April 24, 2025, an email was issued advising Respondent that it "must file an answer and comply with the instructions in the Notice by May 1, 2025" and that "failure to file a response could subject it to a finding of default and award to Claimant Persimmon Augst of the reparations requested." (*Id.*). On May 7, 2025, a notice of appearance was received by counsel for Respondent. (*Id.*).

On June 2, 2025, an email was issued noting that "while a Notice of Appearance on behalf of Transparent International was filed by John T. Lillis, Jr., Esq. on May 7, 2025, Transparent International has failed to file an answer to the complaint, as instructed. Transparent International should, therefore, explain why it failed to file a timely answer to the complaint." (NOASCO, at 1). The email also asked for clarification regarding the parties' representatives. Later on June 2, 2025, Claimant's representative sent an email objecting to the grant of the extension. (*Id.*).

On June 6, 2025, Respondent's counsel indicated that he had been in final trial preparation and would file an answer over the weekend. On June 10, 2025, Respondent was "granted additional time until Friday, June 13, 2025, to file an answer to the complaint in this proceeding" and "advised that should its answer not be received by the deadline provided a default judgment could issue against it." (NOASCO, at 1-2).

On June 10, 2025, Claimant filed a Request for Clarification of Procedural Authority for Deadline Extension, Objection to Ongoing Prejudice to Complainant, and Resulting Requests ("RFC"), requesting clarification of procedural authority for deadline extensions, objecting to ongoing prejudice to Claimant, and requesting entry of default against Respondent. (*See generally* RFC).

On June 12, 2025, Claimant's representative sent an email to preserve the record due to procedural concerns regarding communications sent to her client and to clarify her role in the proceeding. (NOASCO, at 2). On June 13, 2025, Claimant's representative sent another email "to preserve for the record that the Commission has not acknowledged or responded to the

Request for Clarification” and to object to “repeated deadline extensions and the resulting prejudice to Complainant.” (*Id.*).

On June 13, 2025, the Office of Administrative Law Judges (“OALJ”) sent an email stating: “Thank you for your emails. This is to confirm that OALJ has received the June 10, 2025 request, as well as the June 12th and June 13th emails, which have all been forwarded to the Small Claims Officer. This also confirms the June 2 email indicating that Ms. Dandan represents the Claimant. We appreciated the clarification and immediately updated our contact list. We believe that the SCO’s June 10, 2025 email was sent to the proper representatives.” (NOASCO, at 2).

Also on June 13, 2025, Respondent’s counsel sent an email indicating that his trial was just completed and that an answer would be filed by June 16, 2026. (NOASCO, at 2). Later on June 13, 2025, Claimant’s representative sent a second email “reiterat[ing] her objection to what is now the fourth procedural deadline extension” and requesting a ruling on the prior filing. (*Id.*).

On June 17, 2025, Respondent filed an Answer to the Claim. (*See generally* Answer). Also on June 17, 2025, Claimant filed Complainant’s Rebuttal to Respondent’s Answer and Affirmative Defenses (“Rebuttal”), along with an accompanying affidavit. (*See generally* Rebuttal).

On July 10, 2025, the Small Claims Officer (“SCO”) issued an Order on Claimant’s Request for Default Judgment, Claimant’s Submission of a Rebuttal to Answer, and Request for Additional Information from the Parties (“July 10 Order”). Although the July 10 Order noted concern regarding Respondent’s lack of diligence, the July 10 Order also denied Claimant’s request for a default, reasoning that administrative disputes are better adjudged on the merits, as opposed to on procedural grounds. (July 10 Order, at 1-2). The July 10 Order rejected Claimant’s Rebuttal to the Answer as not allowed for in the procedural rules, but invited Claimant to provide the same information in response to several Requests for Additional Information (“First RFIs”). (*Id.*, at 2). Finally, the July 10 Order contained the First RFIs, ordering responses to be filed by August 6, 2025, and replies to be filed by August 20, 2025. (*Id.*, at 3-5).

On August 6, 2025, Claimant filed Responses to FMC Small Claims Officer’s July 10, 2025 Order (“Claimant’s First RFI Responses”). Also on August 6, 2025, Respondent filed its answers to the First RFIs (“Respondent’s First RFI Responses”).

On August 19, 2025, Claimant filed Complainant’s Point-by-Point Reply to Respondent’s August 6, 2025 Answer (“Claimant’s First RFI Replies”).

On August 21, 2025, Respondent filed its reply and exhibits (“Respondent’s First RFI Replies”). Claimant’s representative sent an email objecting to Respondent’s First RFI Replies as untimely. Respondent’s counsel sent an email explaining that while he sent Respondent’s First RFI Replies on August 20, 2025, the transmission did not go through until August 21, 2025. Claimant’s representative sent another email on August 21, 2025, again objecting to the untimely filing, and asking for leave to file a sur-reply. Respondent’s counsel agreed to allow a sur-reply.

On August 28, 2025, Claimant filed Complainant's Sur-Reply to Respondent's Reply Declaration ("Sur-reply").

This matter was reassigned to me on December 11, 2025.

On December 19, 2025, Claimant's representative emailed OALJ (the "December 19 Email"). The December 19 Email is discussed further below.

On December 30, 2025, I issued an Order Requesting Additional Information (the "Second RFIs"). Among other things, the Second RFIs included the text of the December 19 Email, and sought information from the parties regarding the matter raised in the December 19 Email. The December 19 Email stated:

Honorable Judge Ambrow,

Complainant respectfully requests that the Commission briefly defer ruling in Docket No. 2028(I). Today, Complainant learned from the Centralized Examination Station [("CES")] that Respondent paid container-level charges and removed the container, which would include Complainant's piano. Complainant was not previously aware of this or notified. Complainant has asked Respondent's counsel to confirm custody, location, and release arrangements and expects a response shortly.

In light of these new developments, Complainant may need to submit a short supplemental filing (or, if appropriate, seek leave to amend). To avoid piecemeal submissions and conserve Commission resources, Complainant requests a brief hold on ruling until Complainant's Representative and Respondent's Attorney have had an opportunity to meaningfully correspond regarding these new issues. Motion practice is not allowed in small claims cases. If there is a more appropriate mechanism for this request, Complainant will amend as requested.

(Second RFIs, at 2).

On January 30, 2026, Claimant filed Complainant's Written Responses to Judge's Order of 12.23.2025 ("Claimant's Second RFI Responses"), and Respondent filed Response to Order Requesting Additional Information ("Respondent's Second RFI Responses"). On February 13, 2026, Respondent filed Respondent's Reply to Claimant's Responses to Order Requesting Additional Information ("Respondent's Second RFI Replies"), and Claimant filed Complainant's Reply to Respondent's January 30 Answers to the ALJ's 12.30 Order ("Claimant's Second RFI Replies").

B. Summary of Facts and Arguments

To summarize the salient facts, in 2024, Claimant hired Respondent, a registered NVOCC, to help her import an antique piano from Germany to the United States; the piano had ivory keys. (Findings of Fact ("FOF"), ¶¶ 2, 5, 22-24, 26). The piano arrived in the United States in mid-September 2024. (FOF, ¶ 14). In early October 2024, Respondent's employee asked Claimant for the paperwork necessary to import ivory; while Claimant provided a form, it was

filled out improperly. (FOF, ¶¶ 16-17, 22). In late October, FWS flagged the presence of the ivory, and had the container carrying the piano pulled to a warehouse pending an inspection. (FOF, ¶¶ 18-20). The container remained in the warehouse until February 19, 2025, when all the paperwork for releasing the piano was provided to the government inspectors. (FOF, ¶ 28).

On February 19, 2025, Respondent sent a bill for \$22,196.75 to Claimant, and Claimant disputed it. (See FOF, ¶¶ 29-32). Of that amount, \$21,727.75 is from the warehouse that stored the container from November 1, 2024, through February 19, 2025; the remaining amount was for one day of container demurrage at the terminal, also November 1, 2024. (FOF, ¶¶ 21, 31). Those bills coincided with the period during which FWS had the container pulled aside until the time the paperwork to release the piano was completed (*i.e.*, October 31, 2024, through February 19, 2025). (FOF, ¶¶ 20, 28-31).

While the parties disputed responsibility for the storage bill, the warehouse storage bill grew from February 2025 through at least June 2025. (FOF, ¶¶ 28-31, 34, 41). Eventually, in July 2025, a third party that was also involved in the transportation of the container settled the warehouse storage bill. (FOF, ¶¶ 43-44). Apparently, an ocean carrier also seeks detention fees for the container from November 1, 2024, until the warehouse fee dispute was settled on or about July 25, 2025. (FOF, ¶ 45).

This case is essentially a continuation of the dispute regarding who is responsible for the storage fees. Claimant argues that she hired Respondent to help import a piano, that Respondent was obligated to ensure that the paperwork was properly completed, and that Respondent failed in that obligation. (Claimant's Second RFI Responses, at 6). After the container was released from the hold, Respondent passed through an unreasonably large bill to Claimant, even though Respondent failed to fulfill its obligation. (Claimant's Second RFI Responses, at 4-5). Even if Claimant was responsible for some of the storage fees, Claimant should not pay fees related to the entire container, but only a proportional share of the fees. (*Id.*). Claimant also asserts that shortly after the parties began disputing responsibility for the bill, Respondent's employee called Claimant and used threatening language. (Memo, at 13-14).

Respondent asserts that it had no obligation regarding the ivory because it was unaware of its presence until after the container was already in the United States. (See generally Respondent's First RFI Replies).² When Respondent first learned about the ivory in early October 2024, it requested paperwork from Claimant; although Claimant had a form, it was filled out improperly. (Respondent's First RFI Responses, at 1; Respondent's First RFI Replies, at 1). Claimant was given the opportunity to replace the piano keys with plastic, but ultimately chose to correct the paperwork instead. (Respondent's First RFI Replies, at 1-2).

² Respondent's First RFI Replies primarily consists of a declaration from Respondent's principal, along with Bates numbered documents (TRANS0001 *et seq.*). The declaration was not properly signed until January 30, 2026. I cite the declaration in the main text. Claimant includes Bates numbered documents (CX001 *et seq.*) along with Claimant's Second RFI Responses.

As discussed below, I find that the resolution of the dispute regarding the storage fees ultimately turns on whether Claimant can demonstrate that Respondent had a duty to procure the paperwork needed to import the piano with ivory keys.

III. FINDINGS OF FACT

1. I take official notice that Respondent is an FMC-licensed NVOCC based in Brooklyn, NY. (See <https://www2.fmc.gov/oti/> (last visited Feb. 27, 2026; *see also* 46 C.F.R. § 502.226).
2. Claimant alleges that Respondent is an ocean freight forwarder (“OFF”), and Respondent admits that fact. (Verified Complaint, at ¶ 2; Answer, at ¶ 2). I take official notice, however, that Respondent is not identified on the FMC website as an OFF. (See <https://www2.fmc.gov/oti/> (last visited Feb. 27, 2026; *see also* 46 C.F.R. § 502.226).
3. Claimant is an individual. (Verified Complaint, at ¶ 1).
4. Claimant filed a statement sworn under penalty of perjury that states: “Prior to booking my shipment, I spoke with Transparent representatives by phone on multiple occasions[,]” and “[d]uring these calls, I explicitly informed Transparent that the shipment included a Blüthner grand piano manufactured in 1899 with original ivory keys.” Further, “I specifically asked whether shipping a piano containing ivory would be a problem and was repeatedly assured by Transparent personnel that they had experience with such shipments and that it would not be an issue.” (CX068).
5. The record has an International Sea Order for Service #149579 on Respondent’s letterhead that is addressed to Claimant, and is dated July 15, 2024 (the “July 15 Contract”). (See TRANS0011-TRANS0013; CX002-CX004). The July 15 Contract is to move a piano from Dresden to Southwick, MA, for \$4,990, though the contract makes no reference to ivory. (*Id.*). It provides, among other things: “Rates excludes: Unless specified in scope of services at origin or destination on page 1 of this agreement your rate excludes the following: . . . Demurrage . . . Detention fees; Chassis Charges (past 2 days provided); . . . Customs examination and inspections and associated fees. . . .” (TRANS0012; CX003). It also provides that the scope of services at origin includes “export documentation,” and scope of services at destination includes “US Import Clearance.” (TRANS0011; CX002). Services also provided by Respondent include loading the item into a container, trucking it to port, as well as providing export documentation and import clearance. (*Id.*). The July 15 Contract also indicates that Respondent provides ocean freight, terminal handling charges, and the trucking of effects to the final address. (*Id.*).
6. There is an email dated July 15, 2024, from Respondent’s employee to Claimant. (TRANS0009-TRANS0010; CX023-CX024). The employee states that she is the move coordinator, and she attached several documents to be completed in order to clear the cargo through customs. It does not appear that Respondent’s employee included a CITES³ form or

³ A CITES form is used regarding international trade of endangered species. (See 50 C.F.R. §§ 23.1, *et seq.*).

makes any reference to ivory. The email subject line has the number of the July 15 Contract (149579), as well as another number, US5900059. (*Id.*).

7. The record shows that Claimant paid \$499 for a move deposit on July 16, 2024. (TRANS0014; CX006).
8. On July 16, 2024, an employee of Schmidt Global Relocations (“SGR”) emailed Claimant. (TRANS0019; CX031). The employee introduced SGR as Respondent’s European partner, who would be assisting in the move. SGR’s employee asked for the brand, type and value of piano. (*Id.*). Claimant responded to SGR’s employee, stating it is a Blüthner grand piano worth \$10,000, but said nothing about ivory. (TRANS0021; CX033).
9. The record contains a Customs Power of Attorney form signed by Claimant, and dated July 16, 2024, appointing Respondent. (TRANS0015; CX022).
10. The record has an invoice on Respondent’s letterhead dated July 26, 2024, for \$350 for insurance for the move. It references both the July 15 Contract number (149579), and another number (US5900059). (TRANS0030; CX009).
11. In late July and early August 2024, Claimant also paid an additional \$4,491 for the balance of the cost of the move, plus \$350 for the insurance. (TRANS0031-TRANS0034).
12. The record has a copy of a CITES form dated August 8, 2024 (the “August 8 CITES Form”). (TRANS0035). Claimant completed this form with the assistance of a friend who is experienced in international piano sales. (*See* Claimant’s Second RFI Responses, at 8).
13. The record has Sea Waybill No. ONEYRTME25654500 (the “Sea Waybill”). (*See* TRANS0039-TRANS0040; CX018-CX019). The Sea Waybill identifies the container as NYKU9830796, which was laden on board on September 6, 2024. The shipper is identified as Share Logistics BV as agent for SGR. The booking number is RTME25654500. The Sea Waybill indicates that the container had 171 packages. Respondent was identified as the consignee. (*See id.*).
14. The record has an Arrival Notice for the Sea Waybill showing an estimated discharge time of September 19, 2024. (TRANS0041-TRANS0043). An attached document entitled US Customs AMS Fie for NVOCC House B/L shows the number for the piano as RTME25654A01. (TRANS0042).
15. On September 26, 2024, Respondent’s employee emailed Claimant. (TRANS0045-TRANS0046; CX025-CX026). Among other things, the employee introduced himself as the move coordinator, and attached several documents necessary for import. (*Id.*). The list of attached documents does not appear to include a CITES form. (*Id.*). Finally, the email has the Commission’s seal, and states that Respondent is on the Commission’s OTI list. (*Id.*).
16. On October 2, 2024, Respondent’s employee emailed Claimant asking for a completed CITES form. (TRANS0047-TRANS0048; CX039-CX040). Claimant responded the same day saying the CITES form is completed. The following day, Respondent’s employee asked for a scanned copy. (*Id.*).

17. On October 8, 2024, Claimant emailed Respondent's employee stating that she emailed a copy of the August 8 CITES Form, but has yet to hear anything. (CX038).
18. There is an email dated October 25, 2024, from the FWS to an employee at Dolliff & Co., Inc. ("Dolliff"), with Claimant's name in the subject line. The email states: "Shipment selected for inspection." The email indicates that the broker on the shipment is Dolliff, and the master waybill is ONEYRTME25654500. (Respondent's First RFI Responses, at 1).⁴
19. On October 28, 2024, Claimant emailed two employees of Respondent, stating that FWS is apparently the holdup, and that there is a CITES document for the shipment. (Respondent's First RFI Responses, at 3).
20. The container was transferred to East Coast Warehouse ("ECW") on or about October 31, 2024, for an MET exam. (Respondent's First RFI Responses, at 4).
21. The record has an invoice with Maher Terminals letterhead, in the amount of \$469 for demurrage on November 1, 2024. (TRANS0049; *see also* CX017).
22. On November 14, 2024, an agent from FWS emailed an employee of Dolliff stating that: ". . . this piano will be refused entry due to improper permitting." (Respondent's First RFI Responses, at 6). The August 8 CITES Form was improperly endorsed. Further, it was marked as commercial, and ivory cannot be imported for commercial purposes. The email indicated that the piano may be re-exported, or the ivory may be removed and replaced with plastic. (*Id.*). The agent sent another email on November 14, 2024, with the names of piano technicians who have been used in the past by other importers to remove ivory. (Respondent's First RFI Responses, at 7).
23. On November 19, 2024, Respondent's employee forwarded to Claimant the substance of the FWS emails from November 14, 2025, including presenting options for having the piano re-exported with the proper paperwork, or having the keys replaced. (TRANS0052-TRANS0053; *see also* Respondent's First RFI Responses, at 8-9).
24. Email correspondence between Claimant and Respondent's employee shows that Claimant was considering removing the ivory keys and replacing them with plastic in November and December 2024. (TRANS0050-TRANS0051; *see also* Respondent's First RFI Responses, at 10-11).
25. On December 10, 2024, an ECW employee emailed Dolliff's employees and Respondent's employees stating that: "Container is pending customs exam. There's been an influx of flagged intensive exams at this time causing a delay in processing times." (Respondent's First RFI Responses, at 11).
26. In January 2025, Claimant emailed Respondent's employee indicating that Claimant discussed the matter with the FWS agent, and was attempting to get a proper CITES form

⁴ Respondent's First RFI Responses has embedded emails that are not elsewhere in the record.

completed to keep the ivory keys on the piano. (TRANS0050-TRANS0051, TRANS0054-TRANS0055; CX041-CX044). In particular, on January 16, 2025, Claimant sent an email to Respondent's employee:

We need to get the electronic customs declaration form and number from the European shipper. I am trying to contact the email I have for them. But do you have that information and can just share with me?

We need a letter from Transparent International stating that you were not aware of the German CITES requirements and therefore was not involved with the customs process in Germany. From my understanding, your role was only on the US side. Is that correct? That's what I explained to the Germans yesterday.

I will also have to write a letter explaining that I approached you about shipping, but I did not engage you to take care of the CITES process.

(TRANS0054; CX041).

27. In response to Claimant's email of January 16, 2025 (discussed in the previous paragraph (*see* TRANS0054; CX041)), Respondent's employee sent a letter from Adam Miller dated January 17, 2025, to Claimant stating: "We were commissioned by our client, Persimmon Jinlei Augst, to provide shipping services from Germany to the United States, solely. There were no other services included in the contract." (TRANS0058-TRANS0062; CX041-CX051).
28. On February 6, 2025, Claimant sent a revised CITES form to Respondent's employee. (TRANS0065-TRANS0066; *see also* Respondent's First RFI Responses, at 15). Claimant also provided an appraisal letter on February 19, 2025, per the request of customs. (TRANS0065).
29. On February 19, 2025, Respondent's employee sent an email to Claimant stating that the container carrying Claimant's cargo was selected for a random exam by U.S. Customs and Border Protection ("CBP"), and that additional expenses are the Claimant's responsibility. (TRANS0069-TRANS0071; CX045-CX047). Respondent's employee attached the invoices described in paragraphs 21, 30, and 31. (TRANS0070; CX046)
30. The record has an invoice on East Coast Centralized Examination Station letterhead for \$21,727.75, that is dated February 19, 2025 (the "First CES Invoice"). (TRANS0075; CX020). The First CES Invoice shows that the load arrived at CES on November 1, 2024, that the customs exam date was November 5, 2024, and that the CES last free day was November 10, 2024. (*Id.*). The invoice showed \$17,090 in demurrage charges. (*Id.*).
31. The record contains an invoice from Respondent to Schmidt Global Relocations in the amount of \$22,196.75, dated February 19, 2025 (the "TI Invoice"). (TRANS0077). The TI Invoice shows two underlying charges: \$21,727.75 for "Exam charges and resulting port fees[.]" as well as \$469 from the MAHER terminal for demurrage on November 1, 2024. (*Id.*; *see also* TRANS0049).

32. On February 20, 2025, Claimant sent an email to Respondent's employee. It stated: "I just wrote CES again. I will also get in touch with the Federal Maritime Commission. Several people have pointed out [that] the items in the CES bill doesn't make sense and look suspicious." (TRANS0080; CX049-CX050).
33. On February 24, 2025, an ECW employee sent an email to employees of Dolliff, employees of Respondent, and Claimant indicating that the container is fully released, and attaching a CES exam charge invoice. (Respondent's First RFI Responses, at 19).
34. The record has an invoice on CES letterhead for \$31,577.75, that is dated February 24, 2025 (the "Second CES Invoice"). (TRANS0088; CX021). An apparently accompanying email dated February 28, 2025, from Respondent's employee to Claimant states: "Please see the updated CES bill, please note it is increasing daily." (TRANS0087).
35. On February 25, 2025, Claimant's representative sent an email to Respondent's employee in the morning, introducing herself and asking: why Claimant was being given a bill for storage of the entire container, not just her portion; why was Claimant not issued a house bill of lading; and why did the exam take 72 days. The representative also requested customs documentation. (TRANS0084; CX052). This email did not instruct Respondent to refrain from contacting Claimant directly. (*Id.*).
36. Claimant filed a sworn statement that stated that on February 25, 2025, she received a call from one of Respondent's employees at around 3:00 p.m. It was the first time that one of Respondent's employees contacted her telephonically. Respondent's employee spoke with a threatening tone, saying: "Listen, this tactic is going to turn badly for you!" Claimant tried to cut off the call, but Respondent's employee said: "Oh yes, you have to talk to me." Claimant hung up. Respondent's employee tried calling back. (CX069-CX070).
37. On February 25, 2025, Claimant's representative sent an email to Respondent's employees stating that Respondent's employee made a threatening phone call to Claimant. The representative instructed Respondent's employees to refrain from contacting Claimant directly going forward. The representative also asked for a breakdown of the charges at issue, and the actual invoice from CES. (TRANS0085; CX053).
38. On March 3, 2025, Claimant's representative sent an email to Respondent's employees for a breakdown of the charges. (TRANS0090; CX054).
39. On March 17, 2025, Claimant's representative sent an email to Respondent's employees for a copy of the house bill of lading, among other documents. (CX055).
40. The record has an email exchange between Respondent's employee and ECW's employee dated June 11, 2025. (Respondent's First RFI Responses, at 21-22). Respondent's employee asked if the container can be released despite the dispute regarding fees for the piano. (Respondent's First RFI Responses, at 21). ECW's employee responded: "We handle this as one shipment, cannot really separate it. We unloaded the entire container not only the piano. The issue is the substantial charges. I want to get this load out of there more than anything but[.]" (Respondent's First RFI Responses, at 23).

41. The record has an invoice on CES letterhead for \$62,562.75, that is dated June 23, 2025 (the “Third CES Invoice”). (TRANS0093). The demurrage charge alone was \$52,125. (*Id.*).
42. In response to the Second RFIs, Respondent’s counsel described Respondent’s functions in this case as including “provid[ing] customs clearance services through Dolliff & CO” and “arrang[ing] delivery of the cargo in the container by subcontracting a trucking /drayage company[.]” (Respondent’s Second RFI Responses, at 1-2).
43. In response to the Second RFIs, which requested information related to the December 19 Email, Claimant asserted that essentially all relevant information would be in Respondent’s possession. (Claimant’s Second RFI Responses, at 7). Respondent represented that SGR negotiated a release of the container, but that the location of the piano has not been disclosed to Respondent. (Respondent’s Second RFI Response, at 4). Respondent also asserts that the ocean carrier imposed substantial detention charges for which Claimant should be responsible. (*Id.*).
44. The record contains an email exchange between an employee of SGR and Respondent’s principal dated July 1, 2025. (TRANS0105-TRANS0106). SGR’s employee included an attachment and asked Respondent’s principal to sign it, stating: “If you can have this signed and returned in the next few hours I can ask our mediator to pull the container from the CES yard. Schmidt will prepay the fees to mitigate the damages any further from that end (using our mediator).” (*Id.*). Respondent’s principal responded attaching a signed documents entitled “Release of All Claims,” that indicates that the container will be released in exchange for a payment. (TRANS0107-TRANS0108).
45. The record contains a detention invoice from the carrier for \$40,425 showing that the staying period began November 1, 2024, that the last free day was November 7, 2024, and that detention was charged until July 25, 2025. (TRANS0109-TRANS0119).
46. Respondent’s principal completed a declaration describing the process for importing ivory, stating that the piano would not have been shipped before the paperwork was in place. (Respondent’s RFI Reply, at 2).

IV. ANALYSIS

A. Burden of Proof

To prevail in a proceeding brought to enforce the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.” (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502, (FMC Dec. 19, 2019); *see also* 5 U.S.C. § 556(d)).

B. Alleged Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

Claimant alleges that Respondent violated 46 U.S.C. § 41102(c) in several ways. That statute provides that: “[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or

connected with receiving, handling storing or delivering property.” (46 U.S.C. § 41102(c)). By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

The central element of a section 41102(c) claim is whether the practice was unjust and unreasonable. As noted in the Summary of Facts and Arguments above, this case is largely a dispute about warehouse storage fees and demurrage charges from November 1, 2024, through February 19, 2025 – which was the same period that the container was being held by government inspectors due to the presence of the ivory and the improper CITES form. (FOF, ¶¶ 20, 28-31). Because the disputed charges flow from the lack of a proper CITES form, the key question in this case is whether Respondent had a duty to procure a CITES form; if Respondent had such a duty, and failed to fulfill it, then Respondent would have acted unreasonably.⁵ I find that Claimant has not carried its burden of demonstrating that Respondent had such a duty.

1. Unjust or Unreasonable Practice

Claimant argues that the charges at issue were unreasonable because Respondent agreed in the July 15 Contract to be responsible for U.S. import clearance. Therefore, Respondent should bear the cost of failing to make sure all the required paperwork was appropriately filled out. (Memo, at 9-11; Claimant’s First RFI Responses, at 5-6, 8). To the extent Claimant owes anything, Claimant had one item in a container with 171 total items; Claimant should not bear the costs related to the entire container. (Memo, at 6-9; Claimant’s First RFI Responses, at 4-5). Claimant also argues that Respondent engaged in other forms of unreasonable behavior: Respondent unreasonably suggested replacing the ivory keys with plastic keys, which would devalue the antique piano; the exam was for an unreasonably long period of time, despite Respondent’s control over the situation; Respondent fabricated a house bill of lading (Memo, at 13); and Respondent made misrepresentations to international authorities (Memo, at 16-17).

⁵ It can be fairly asked if the Commission should be hearing this matter, as it largely appears to be a case about common law contract interpretation and breach. In *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *14-15 (FMC Oct. 31, 2000), the Commission vacated and remanded an administrative law judge’s decision denying a motion to dismiss the complainant’s claims. The Commission stated that the complainant’s claims were substantially contract law claims, even though they were identified in the complaint as alleged Shipping Act violations. (*Id.*, at *15). The Commission stated that such claims were not properly before the Commission in the absence of any showing that “some extraordinary aspects of the allegation distinguish it substantially from a breach claim.” (*Id.*, at *15).

In response, Respondent admits that customs clearance services were part of the agreement, but argues that Claimant did not inform Respondent of the presence of the ivory keys. (See Respondent's First RFI Responses, at 29-30). As for the fact that Claimant was charged fees for the entire container, Respondent argues that the ECW would not separate the charges. (Respondent's First RFI Responses, at 22-23). As for why the container was held up for 72 days in an exam, Respondent argues that was the fault of the warehouse and Claimant's actions. (Respondent's First RFI Responses, at 25).

In general, the Commission has stated that in assessing the reasonableness of charges such as demurrage and detention in the context of a government inspection, it will consider the extent to which the charge incentivizes freight fluidity. (46 C.F.R. § 545.5(c)(2)(iv)).

That principle was applied in *Tereno SDN BHD v. C.H. Robinson Int'l, Inc.*, Dkt. No. 1972(I), 4 F.M.C.2d 30, 2022 WL 3093188 (SCO Jan. 27, 2022) ("*Tereno P*") (*aff'd* 4 F.M.C.2d 45, 2022 WL 3093190 (FMC Mar. 22, 2022)). There, the claimant shipper's container was detained by customs, resulting in the carrier imposing demurrage fees; the respondent, an OTI, passed the demurrage charges through to claimant. (*Tereno I*, 2022 WL 3093190, at *3-4). When the respondent first learned that documentation was needed to clear the hold, the respondent contacted the customs broker the same day, and the claimant the following day; respondent followed up with the customs broker several times before the broker provided the necessary information. (*Id.*, at *4-5, 8). The SCO determined that the claimant failed to carry its burden of showing that the respondent's conduct unreasonably contributed to the imposition of the demurrage fees, and, in any event, noted that the demurrage fee was merely passed through. (*Id.*, at *9).

On appeal, the Commission clarified that "passing on" a charge is not necessarily a defense under section 41102(c). The Commission, though, affirmed the SCO, concluding that the claimant did not prove that the respondent acted unreasonably, and noting that there was evidence that the claimant did not satisfy its obligation to provide paperwork timely. (*Tereno SDN BHD v. C.H. Robinson Int'l, Inc.*, Dkt. No. 1972(I), 4 F.M.C.2d 45, 2022 WL 3093190, at *1 (FMC Mar. 22, 2022) ("*Tereno II*").

In this case, the container arrived in the United States in mid-September 2024. (FOF, ¶ 14). At some point after its arrival, the container was subject to a random inspection. (FOF, ¶ 29). The dispute in this case, however, did not come into focus until Respondent forwarded a bill to Claimant from the warehouse on February 19, 2025, for warehouse fees and demurrage fees commencing November 1, 2024, and running through February 19, 2025. (FOF, ¶¶ 21, 29-32). This period – November 1, 2024, through February 19, 2025 – coincides with the period during which FWS pulled the container aside until the container was released after government inspectors received the appropriate paperwork (*i.e.*, October 31, 2024, through February 19, 2025). (FOF, ¶¶ 18-20, 28). Thus, the crux of the dispute concerns the fees that accrued while the piano was being held due to a lack of a properly completed CITES form.

Because the lack of a proper CITES form led to the piano being held up and the ensuing charges, the central issue is whether Claimant can demonstrate that Respondent had the duty to procure a CITES form. I find that she does not carry her burden.

Based on the facts, one could plausibly conclude that Respondent was responsible for procuring a CITES form, and failed to do so. In particular, Respondent admits that the July 15 Contract made Respondent responsible for customs clearance. (FOF, ¶ 5; Respondent's First RFI Responses, at 29-30). Further, Claimant asserts that she made several calls to Respondent prior to booking the shipment, that she mentioned the ivory during these calls, and that she was assured that it would not be a problem. (FOF, ¶ 4). But, there is another, equally plausible way to look at the facts.

In the January 16, 2025, email, Claimant wrote that she intended to tell German authorities that she did not engage Respondent to take care of the CITES process. (FOF, ¶ 26 ("I will also have to write a letter explaining that I approached you about shipping, but I did not engage you to take care of the CITES process.")). The fact, coupled with the fact that she discussed ivory with Respondent prior to booking (FOF, ¶ 4), suggests that Claimant knew a CITES form was needed, and that she did not engage Respondent to handle the CITES process, but instead handled it herself. The rest of the record makes sense when considering this set of facts. For example, if Claimant, not Respondent, was responsible for the CITES form, it explains how Respondent's employee knew to ask Claimant for the CITES form on October 2, 2024,⁶ and why Claimant had it available.⁷ (FOF, ¶¶ 16-17). It explains why Respondent, an experienced importer, would not have ensured that a CITES form was prepared before the piano left Germany, or would not have ensured that Claimant's August 8 CITES Form was correct when she first gave a copy of it to Respondent's employee, or would have wrote a letter to the German authorities indicating that "there were no other services included in the contract." (FOF, ¶¶ 4, 16-17, 22, 27, 46). It explains why none of the other documents in the record from April through September 2024, save the August 8, 2024, CITES form, reference ivory. (FOF, ¶¶ 5, 6, 8, 14). And, it explains why, in the January 16, 2025, email, Claimant instructed Respondent as to what was needed after she chose not to replace the ivory piano keys with plastic. (FOF, ¶ 26).

Because the burden of proof is on Claimant, and considering the multiple, equally plausible ways of looking at the evidence, I find that Claimant does not meet her burden of showing that it is more likely than not that Respondent was responsible for the form.⁸

⁶ Respondent stated that Dolliff informed Respondent that FWS requested a CITES form, which is why Respondent asked for a form on October 2, 2024. (Respondent's Second RFI Responses, at 6). Respondent's assertion, which was not sworn to by a knowledgeable witness, lacks any corroboration such as an email from late September or early October stating FWS was looking for a CITES form.

⁷ Claimant asserts that she "learned independently, through a friend, that a CITES-related document might be necessary because the piano has ivory keys," and that Respondent did not tell her a CITES form was needed despite being aware of the ivory. (Claimant's Second RFI Responses, at 8). This does not contradict my discussion in the main text, namely, that the facts could show that Claimant did not engage Respondent to take care of the CITES process. Indeed, Claimant stated she discussed ivory with Respondent "prior" to booking (FOF, ¶ 4), leaving open the possibility that the booking itself intentionally did not include reference to the ivory.

⁸ Claimant argued in its Memo that Respondent had her sign an invalid power of attorney as the actual customs broker did not have the power of attorney. (Memo, at 11-12). After

(*Greenwich Collieries v. Director, Office of Workers' Compensation Programs*, 990 F.2d 730, 737 (3d Cir. 1993) (“The ALJ found that the evidence was in equipoise on the issues of pneumoconiosis and total disability, which, by definition, means that Ondecko did not carry his burden of proof by a preponderance of the evidence on these issues.”)).

Addressing Claimant’s other allegations regarding how Respondent acted unreasonably, some of Claimant’s arguments carry more weight than others. None are ultimately persuasive.

Claimant argues that it was unreasonable for Respondent to suggest that the ivory keys be replaced with plastic. (*See* Surreply, at 4-5). The record shows that Respondent was forwarding a suggestion from an FWS agent who indicated that others in a similar situation replaced ivory piano keys with plastic. (FOF, ¶¶ 22-23). I find that Respondent did not act unreasonably in forwarding the FWS’s suggestion to replace the ivory with plastic, as apparently others who were similarly situated found it to be a reasonable solution to a similar problem.

Claimant asserts that Respondent fabricated a house bill of lading reference number. In general, an NVOCC will issue a bill of lading to each shipper, which is the HBL, as opposed to the master bill of lading issued by the carrier. (*See GIC Services, L.L.C. v. Freightplus USA, Inc.*, 866 F.3d 649, 657 (5th Cir. 2017); *see also Rimax Seguros y Reaseguros v. C.H. Robinson Int’l, Inc.*, Civ. No. 21-1288 (PAM/BRT), 2022 WL 788687, at *1 (D. Minn. Mar. 15, 2022) (“The bill of lading between the NVOCC and the merchant is called the house bill of lading.”)). Here, the record does not contain a copy of the HBL, even though Claimant’s representative asked for it.⁹ (FOF, ¶ 38). Nevertheless, it does not necessarily follow that Respondent fabricated the HBL number. The Sea Waybill and Arrival Notice both refer to an HBL number. (FOF, ¶¶ 13-14). Therefore, this argument appears to lack a factual foundation.

Claimant asserts that Respondent made misrepresentations to international authorities. (Memo, at 16-17). The record has a letter from Respondent’s employee that described Respondent as merely a receiving agent, and disclaimed any responsibility for customs. (FOF, ¶ 27). This is consistent with the position Respondent takes in this litigation (*see* FOF, ¶ 42; Respondent’s Second RFI Replies, at 1-2) – and, as discussed above, it is consistent with the fact that Claimant did not hire Respondent to handle the CITES form (FOF, ¶ 26). Regardless, there appears to be no connection with any misstatement by Respondent and any additional delay related to the piano.

Claimant also argues that Respondent should have pro-rated the charge because Claimant only had a small portion of the entire container. (Memo, at 6-9). I am not persuaded. It appears

Respondent admitted to having an obligation to ensure the proper customs clearance (Respondent’s First RFI Responses, at 29-30), Claimant apparently modified her argument to assert that Respondent had a duty to have the piano imported properly. (*See* Claimant’s Second RFI Responses, at 6). As noted in the main text, however, this argument turns on whether Claimant can prove that Respondent was responsible to procure a CITES form.

⁹ Claimant argues that Respondent’s failure to provide a copy of the HBL violates Respondent’s duties as an ocean freight forwarder. (*See* 46 C.F.R. § 515.32). As discussed in the main text, however, Respondent did not act as an ocean freight forwarder in this case.

from the record that Respondent passed on charges from ECW and Maher. Respondent's invoice to Claimant was for an amount equal to the amount of the ECW and Maher invoices. (See FOF, ¶¶ 21, 29-31). Later, Respondent simply forwarded the ECW invoice. (FOF, ¶¶ 33-34). An OTI cannot avoid liability under section 41102(c) by arguing that it was passing on a charge. (*Tereno II*, 2022 WL 3093190, at *1). Nevertheless, I find that Claimant has not carried its burden of showing that it was unreasonable for Respondent to pass along the ECW charges to Claimant. The presence of ivory caused the delay that led to the warehouse charges. (FOF, ¶¶ 18-20). Moreover, email traffic between Respondent and ECW indicated that ECW would not release the container without payment. (FOF, ¶ 40). In such a situation, it is unclear what other reasonable alternative Respondent had other than passing the invoice to the party whose cargo led to the inspection from FWS. Further, this result is consistent with the incentive principle, because the presence of the ivory and the lack of proper and timely paperwork ultimately led to the problem in this case. (*Tereno II*, 2022 WL 3093190, at *1).

In sum, I am not persuaded that Claimant has demonstrated that Respondent acted unreasonably.

2. Normal, Customary, or Continuing Basis

I also find that Claimant has not demonstrated that Respondent's allegedly unreasonable acts occurred on a normal, customary or continuing basis. The Commission issued 46 C.F.R. § 545.4 in 2018. In the rulemaking for that rule, the Commission stated that: "Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo." (*Interpretive Rule, Shipping Act of 1984* ("Interpretive Rule"), 83 FED. REG. 64478, 64479). Instead, the Commission clarified that, historically, a violation of section 41102(c) (and its predecessor statute) requires a showing that, "... the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." (*Id.*) (citations omitted). In short, section 41102(c) does not create a remedy for a one-time unreasonable act. To state a claim under section 41102(c), the act at issue must occur on a normal, customary and continuous basis. (46 U.S.C. § 41102(c); see also *Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)).

Claimant argues that the "normal, customary and continuous" element is satisfied because the charge was imposed pursuant Respondent's "standard service terms and billing policy, not a one-off mistake." (See Claimant's Second RFIs Responses, at 5; Claimant's First RFI Responses, at 2-4). Pointing to *Simple Forwarding, Inc. v. China United Lines Ltd.*, Dkt. No. 2010(F) (ALJ Feb. 6, 2025) (notice not to review, March 11, 2025), Claimant argues that the July 15 Contract makes customers responsible for demurrage charges (see FOF, ¶ 5), thus the "practice" element is satisfied because the fees were imposed pursuant to a contract. Likewise, in *TCW, Inc. v. Evergreen Shipping Agency*, Dkt. No. 1966(I), 2022 WL 18068977, at *4-*5 (FMC Dec. 29, 2022) (*vacated and remanded on other grounds sub nom. Evergreen Shipping Agency v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024)), the approximately \$500 charge at issue was imposed pursuant to a contract.

I appreciate Claimant's argument. Claimant's argument, however, is undermined by the fact that Claimant repeatedly asserts that the charges at issue were ultimately caused by Respondent's allegedly unreasonable failure to perform its duties. For example:

- "Ms. Augst is not merely facing an improper demand for payment, she is trapped in a growing financial liability caused entirely by Transparent's inaction and mismanagement." (Memo, at 2).
- "Despite its responsibility, Transparent failed to proactively identify or address clearance requirements, failed to communicate regulatory needs to Complainant, and mishandled the shipping and customs process so severely that the shipment remained uncleared for months, allowing unnecessary examination and storage fees to accumulate." (Claimant's First RFI Responses, at 5-6).
- "Respondent undertook the clearance function, did not supervise it competently or communicate in a manner consistent with that role, and then sought to shift undifferentiated container-level charges to a one-piece LCL shipper without the basic forwarding documents that would be expected in ordinary practice." (Claimant's First RFI Replies, at 8).
- "This delay, despite Respondent's control of the clearance process and knowledge of the shipment contents, contributed to the escalation of the regulatory issues that culminated in FWS raising concerns as of October 25, 2024." (Claimant's Second RFI Responses, at 6).

Thus, the gravamen of Claimant's Claim is that Respondent unreasonably failed in its duties, thereby causing the charges to accrue – not the imposition of the charges pursuant to a contract. Accordingly, while I previously concluded that Claimant has not demonstrated that Respondent acted unjustly or unreasonably, "[e]ven if Claimant were able to prove its allegations against Respondent, the most that could be said is that on one occasion Respondent" acted unreasonably. (*Tereno I*, 2022 WL 3093188, at *8).

3. Other Elements of a Section 41102(c) Claim

For the sake of completeness, I briefly address the other elements of a section 41102(c) claim.

i. Regulated Entity

Respondent must be a regulated entity. I find that this element is satisfied as Respondent acted as an NVOCC. An NVOCC is defined as a common carrier that does not operate the vessels by which the ocean transportation is provided, and "is a shipper in its relationship with the ocean carrier." (46 U.S.C § 40102(17)). In turn, a common carrier is:

a person that—

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. . . .

(46 U.S.C. § 40102(7)).

The first element, holding oneself out to the public to provide transportation by water, is satisfied. Not only does Respondent admit that it is an NVOCC, but its email has the Commission’s seal and advertises that it is on the Commission’s OTI list. (*See, e.g.*, FOF, ¶ 15). Further, the July 15 Contract indicates that Respondent charges Claimant for ocean freight. “Charging ocean freight is indicative of carrier status rather than forwarder or agent status.” (*CMI Distribution, Inc. v. Service by Air, Inc.*, Dkt. No. 17-05, 2021 WL 3367603, at *6 (FMC Jul. 26, 2021); *see also Landstar Exp. Am., Inc. v. Fed. Mar. Comm’n*, 569 F.3d 493, 495 (D.C. Cir. 2009) (“Unlike OFFs, NVOCCs receive compensation only from the shipper.”)).

The second element, assumes responsibility from port or point of origin to port or point of receipt, is also satisfied. As noted in the regulations, an NVOCC typically engages in certain responsibilities, such as assisting with clearing shipments in accordance with U.S. government regulations, and arranging for inland transportation and paying for inland freight charges on through transportation movements. (*See, e.g.*, 46 C.F.R. § 515.2(k)). The July 15 Contract provides that Respondent will load the item into a container, truck it to port, as well as provide export documentation and import clearance. (FOF, ¶ 5). The July 15 Contract also indicates that Respondent provides ocean freight, terminal handling charges, and the trucking of effects to the final address. (*Id.*). Thus, Respondent provided several of the responsibilities listed in the regulation. Further, there is no evidence in the record that Claimant made arrangements with anyone else, including the actual ocean carrier. While I appreciate that there are facts that weigh to the contrary – for example, Respondent did not issue a bill of lading (FOF, ¶ 13) – I find, on the balance, that the second element of the definition of “common carrier” is satisfied.

As for the third element, use of a vessel from a foreign port to a U.S. port, it is also satisfied. The piano was transported on a vessel. (*See, e.g.*, FOF, ¶ 13).

For these reasons, I find that Respondent was acting as a regulated entity for purposes of a section 41102(c) claim.

ii. Receiving, Handling, Storing or Delivering Property

The third element is that the regulation must relate to receiving, handling, storing or delivering property. (46 C.F.R. § 515.4). This element is met because this matter involves the transportation of a piano. (*See, e.g.*, FOF, ¶ 5).

iii. Causation

The final element of a claim under section 41102(c) is causation. In this case, the issue is whether allegedly Respondent's unjust or unreasonable conduct caused the exam-related fees to accrue.

Undoubtedly, this element would be satisfied if Respondent unreasonably failed to fulfill its obligation to ensure that the proper documentation, including the CITES form, was completed accurately. Similarly, any unreasonable failure to pro-rate the invoice would have caused Claimant harm. Claimant faces substantial exam-related charges. Therefore, to the extent Respondent's unreasonable acts caused Claimant to incur exam-related charges at all, or caused them to increase, this element is satisfied. But, as noted above, I find that Claimant has not carried its burden of proof regarding unreasonable conduct or whether Respondent's conduct occurred on a normal, customary, or continuous basis.

4. December 19 Email

In the December 19 Email, which is reproduced in the Second RFIs (as well as above), Claimant asserts that Respondent paid to have the container released from CES, that Claimant was not previously notified about the container's release, and that Claimant was not notified about the whereabouts of the piano. (*See* Second RFIs, at 2).

The record indicates that SGR negotiated a release of the container with CES, which Respondent's principal signed on July 1, 2025. (*See* FOF, ¶ 44). The record does not show that Respondent was kept informed regarding the status of the container or the piano after July 1, 2025; in its response to the First RFIs, Respondent indicates that SGR attempted to negotiate the release of the container, but Respondent did not receive confirmation that this has taken place. (Respondent's First RFI Responses, at 31). Respondent further represents that it is unaware of the present location of the piano, as SGR has not disclosed that information to Respondent. (Respondent's Second RFIs Responses, at 4).

Based on the record, I am unable to find that Respondent acted unreasonably regarding the container. SGR negotiated the release with CES.¹⁰ (FOF, ¶¶ 43-44). Apparently, Respondent's role was limited to having its principal sign the release for the container. (*Id.*). The record shows that SGR has not kept Respondent apprised of developments regarding the container after July 1, 2025, nor has it disclosed the location of the piano to Respondent. (Respondent's First RFI Responses, at 31; Respondent's Second RFI Responses, at 4). Although

¹⁰ Claimant should not be required to pay the entire amount of CES's largest invoice, but rather, her liability regarding CES should be limited to that which was actually paid for the release of the container from CES.

Claimant argues that it should have been notified sooner, it appears that Respondent did not necessarily have anything to report to Claimant. Further, there is no reason to find that Respondent's principal acted unreasonably in signing the release, as doing so stopped the running of CES's fees. Indeed, if Respondent's principal failed to cooperate regarding the release, he arguably would have been acting unreasonably in allowing charges to continue to accrue.¹¹

5. Conclusion

For the reasons discussed, I find that Claimant has not carried her burden of demonstrating a violation of section 41102(c). Accordingly, I find that Claimant's claim under section 41102(c) is **DENIED**.

C. 46 U.S.C. § 41102(d)

Claimant argues that Respondent violated 46 U.S.C. § 41102(d) because one of its employees called her and used a threatening tone in response to her threats to go to the Commission.

Section 41102(d) provides:

(d) Retaliation and Other Discriminatory Actions. -A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not--

(1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or

(2) resort to any other unfair or unjustly discriminatory action for--

(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has--

(i) patronized another carrier; or

(ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason.

(46 U.S.C. § 41102(d)).

¹¹ Respondent introduced over \$40,000 in detention invoices from the ocean carrier. (FOF, ¶ 45). Claimant did not comment on them. In general, as I find that Claimant did not carry her burden of demonstrating that Respondent failed to fulfill its duties regarding a CITES form, it is appropriate for Respondent to pass these charges along also.

There are four elements of a claim under section 41102(d): respondent is a common carrier; claimant is in a protected class; claimant engaged in protected activity; and respondent engaged in prohibited conduct because of the protected activity. (*OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Docket No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *33 (ALJ June 7, 2023) (*aff'd*, 2024 WL 4034610 (FMC Aug. 27, 2024))).

The first element is common carrier. I noted above that Respondent is a licensed NVOCC, and acted as an NVOCC in this case. This element is met.

Regarding the second element, Claimant must first show that she falls within one of the classes protected by the statute, namely, a shipper, the agent of a shipper, an OTI, or a motor carrier. I am satisfied that this element is met. Claimant states that she is the owner of the piano. (Claimant's Second RFIs Responses, at 8-9). While Respondent does not admit in its answer that Claimant is a shipper (Answer, ¶ III), Respondent does not otherwise appear to challenge Claimant's status as a shipper. Therefore, I find that Claimant falls within a protected class.

The third element of section 41102(d) is that the claimant must have engaged in a protected activity. The claimant must also show that the respondent engaged in the prohibited activity because of the protected activity. (*OJ Commerce*, 2023 WL 3969857, at *33 (citing (*Statement of the Commission on Retaliation*, Docket No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *4, (FMC Dec 28, 2021) ("*Statement*")). The Commission discussed the protected activity element under a predecessor statute:

Section 41104(a)(3) contains two types of shipper activity that are specifically protected: patronizing another carrier and filing a complaint. Filing a complaint refers to filing a sworn complaint alleging a violation under 46 U.S.C. § 41301(a). The statute also, however, protects shippers from being retaliated against "for any other reason." The Commission interprets "any other reason" to mean that protected activity under § 41104(a)(3) includes other ways that shippers may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS' dispute resolution procedures. This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission. Further, providing information to Commission investigators and enforcement attorneys, seeking assistance from CADRS, and commenting on Commission rules and notices fall within same class of conduct as filing a complaint.

(*Statement*, 2021 WL 9204128, at *5).

In *OJ Commerce*, the ALJ found that threats to file a complaint with the Commission, while not expressly included in the Commission's statement on retaliation, were part of the category encompassed in "any other reason":

That this "any other reason" language may also apply to other conduct - such as participating in Commission investigatory or enforcement efforts, commenting on

a rulemaking, or using CADRS's dispute resolution procedures - does not mean that “any other reason” may not also apply to threats to file an FMC complaint. . .

Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if “threats” to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision. Moreover, just because a party threatens to file a complaint does not mean that the complaint is valid or would be successful. It simply advises the carrier that the shipper believes there may be a violation so that the carrier can ensure that their conduct conforms to the requirements of the Shipping Act. As long as carriers have a legitimate, transportation-related basis for their decisions and comply with the requirements of the Shipping Act, they will not face liability. Moreover, including “threats” to file a complaint as an “any other reason” is consistent with the Commission’s statement that this section should be read broadly. Therefore, a threat to file a Commission complaint constitutes “for any other reason” in the anti-retaliation provision.

For the reasons discussed above, OJC’s threat to file a complaint with the Commission establishes that OJC engaged in protected activity and this element is met. Therefore, all four factors are met. OJC has established that common carrier HSDG retaliated against shipper OJC by refusing cargo space accommodations when available or resorting to other unfair or unjustly discriminatory methods because OJC had filed a complaint or for any other reason, which includes the threat to file a Commission proceeding. 46 U.S.C. § 41104(a)(3). . . .

(*OJ Commerce*, 2023 WL 3969857, at *39).

I am not persuaded that Claimant satisfies the element that she engaged in protected conduct. Nor am I persuaded that she satisfies the element that Respondent engaged in prohibited activity because of the protected conduct.

Claimant wrote an email on February 20, 2025, stating that she wrote CES, that she will get in touch with the Commission, and that several people have pointed out the items in the CES bill do not make sense. (FOF, ¶ 32). Although Claimant specifically mentioned contacting the Commission, she did that after she wrote that she contacted CES again, and also stated that several items in the CES bill looked suspicious. (*Id.*). In other words, it appears that this email was focused on CES’s lack of communication and the contents of CES’s invoice. This email does not claim or assert that Respondent’s actions were suspicious. In other words, the threatened Commission action in the February 20, 2025, email appeared to be related to CES’s conduct, not Respondent’s.

Moreover, the sequence of events suggests that Respondent’s employee may have called Claimant because she hired a representative, and not because of the February 20, 2025, email. On February 25, 2025, Claimant’s representative emailed Respondent asking about the demurrage bill, about the bill of lading, and about the length of the examination. (FOF, ¶ 35).

The email asked for customs-related paperwork, and pointed to Commission regulations (which are discussed below) regarding disclosure of information. (*Id.*). Respondent's employee called Claimant after the February 25, 2025, email that Claimant's representative sent to Respondent. (FOF, ¶¶ 36-37).

This is a close issue. There is no question that Claimant sent an email to Respondent stating that she would contact the Commission when the parties were disputing the warehouse fees. But, reading the actual email, and considering the timing of events, it is not clear that Claimant made a threat in the February 20, 2025, email to contact the Commission about Respondent's behavior. Nor is it clear that Respondent's conduct was in response to the "threat" in the February 20, 2025, email. But, because Claimant has the burden of proof (5 U.S.C. § 556(d)), I find that Claimant has not shown that it is more likely than not that the February 20, 2025, email constitutes a threat to file a complaint and that the alleged prohibited conduct was in response to the February 20, 2025, email.

For the sake of completeness, I analyze the final element of a claim of retaliation, and that is the prohibited conduct. The statute prohibits retaliating against a shipper by "refusing, or threatening to refuse, an otherwise-available cargo space accommodation" or "resort to any other unfair or unjustly discriminatory action. . . ." (46 U.S.C. § 41102(d)(1) & (2)). The Commission discussed this language as well in its *Statement*:

The "other unfair or unjustly discriminatory" language is a "catchall clause by which Congress meant to prohibit other devices not specifically enumerated but similar in purpose and effect to those barred by § 14 First, Second, and the 'retaliate' clause of § 14 Third." The Court in *Isbrandtsen* held that only conduct "designed to stifle outside competition" fell within this catchall. But it is not hard to envision situations where a carrier might engage in retaliatory conduct that has nothing to do with competition with other carriers. A carrier might engage in conduct detrimental to a shipper (*e.g.*, refusing to enter into, renew, or amend a service contract) to "get even" with or deter that shipper and other shippers from complaining to the Commission. Under a broad reading of *Isbrandtsen*, this type of carrier conduct would not violate § 41104(a)(3) because it would not involve conduct designed to stifle outside competition.

While the Commission is bound by *Isbrandtsen*, the Commission does not believe it requires such a result and interprets it as not applying where a retaliation claim is based on complaint-related activity (filing a complaint, participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or bringing a dispute to CADRS). *Isbrandtsen* did not involve allegations that a carrier retaliated against a shipper because it "filed a complaint charging unfair treatment." Rather, at issue was a dual rate contract system designed to protect a conference from an independent carrier. Consequently, the Court had no reason to address, and did not purport to address, the language in the statute that protects shippers who file a complaint. Further, the Court deemed the purpose of section 14 Third was to outlaw practices used to stifle the competition of independent carriers but did not discuss the portions of the Alexander Report that referred to protecting complaining shippers.

(*Statement*, 2021 WL 9204128, at *5).

The statute identifies refusing or threatening to refuse an otherwise-available cargo space accommodation as a prohibited type of conduct. (46 U.S.C. § 41102(d)(1)). Here, there are no allegations of refusing cargo space accommodations. The statute also references unjustly discriminatory conduct. (46 U.S.C. § 41102(d)(2)). There are no allegations of discriminatory conduct. Therefore, Claimant would need to demonstrate that the conduct of Respondent's employee was "unfair."

Although it was inappropriate and unprofessional for Respondent's employee to call Claimant and use a threatening tone, it is unclear that such conduct would be "unfair." I have found no authority, and Claimant has directed me to none, holding that using a threatening tone during a call would be "unfair" for purposes of the Shipping Act. When considering the purposes of the Shipping Act, it does not appear that a threatening tone during a phone call would be an "unfair" act. The Shipping Act is aimed at regulating commercial behavior. Its purposes are to establish a nondiscriminatory regulatory process for common carriage of goods by water with minimal government intervention, ensure efficient transportation, encourage the development of vessels for the United States, and promote United States exports. (*See* 46 U.S.C. § 40101). Along those lines, the Commission suggests that refusing to renew or amend a shipping contract would be unfair. (*Statement*, 2021 WL 9204128, at *5). Therefore, I find that use of a threatening tone during a phone call, without more, does not constitute an "unfair" act for purposes of 46 U.S.C. § 41102(d)(2). Accordingly, this element is not met.¹²

Because the elements of a claim under section 41102(d) are not met, Claimant's claim is **DENIED**.

D. 46 C.F.R. § 515.32

Claimant argues that Respondent, a licensed ocean freight forwarder, violated 46 C.F.R. §§ 515.32(c) and (d). Section 515.32(c) provides:

No licensed freight forwarder shall withhold any information concerning a forwarding transaction from its principal, and each licensed freight forwarder shall comply with the laws of the United States and shall exercise due diligence to assure that all information provided to its principal or provided in any export declaration, bill of lading, affidavit, or other document which the licensed freight forwarder executes in connection with a shipment is accurate.

¹² The fact that Claimant was represented at the time Respondent's employee called does not affect whether the call was "unfair." (FOF, ¶ 35). While an attorney generally cannot contact a represented party, party-to-party contact generally is not prohibited during a lawsuit. (*See* ABA Model Rules of Prof. Conduct 4.2, Cmt. 4) ("Parties to a matter may communicate directly with each other . . .") (available at Rule 4.2 Communication With Person Represented By Counsel - Comment (last visited February 25, 2026)). Nor did Claimant's representative tell Respondent in her February 25, 2025, email to refrain from contacting Claimant directly. (FOF, ¶ 35).

In turn, section 515.32(d) provides:

Upon the request of its principal(s), each licensed freight forwarder shall provide a complete breakout of its charges and a true copy of any underlying document or bill of charges pertaining to the licensed freight forwarder's invoice. The following notice shall appear on each invoice to a principal:

Upon request, we shall provide a detailed breakout of the components of all charges assessed and a true copy of each pertinent document relating to these charges.

Claimant argues that her representative asked Respondent for information, such as a copy of a house bill of lading, customs-related documents, and invoicing information. But, Respondent refused to provide that information. Claimant asserts that Respondent violated section 515.32. (Memo, at 13). I do not find this argument to be persuasive.

The Shipping Act provides that one must be exporting cargo from the United States to be an OFF. (46 U.S.C. § 40102(19)(a)). The cargo at issue here was imported. (*See, e.g.*, FOF, ¶ 5). Therefore, Respondent was not acting as an OFF in relation to the cargo at issue.¹³

By its terms, 46 C.F.R. § 515.32, describes only a “freight forwarder duties.” It does not govern the duties of all OTIs in general. Freight forwarders are agents of their principals, and thus owe their principals fiduciary duties, including the disclosure of information. (*Licensing, Financial Responsibility Requirements, and General Duties for Ocean Transportation Intermediaries*, 64 FED. REG. 11156, 11167). In contrast, NVOCCs have different relationships with their principals; they have the same relationship with their principals as vessel-operating common carriers do with shippers, and do not have the same disclosure obligations. (*Id.*). Thus, the regulations in section 515.32 only apply to OFFs. (*Id.*, at 11168).

Claimant argues that the Commission’s regulations set forth protections for shippers that should apply regardless of whether the cargo is being exported or imported. Therefore, 46 C.F.R. § 515.32 should apply to both OFFs and NVOCCs. (*See* Claimant’s Second RFIs Responses, at 2-4). Regardless of the merits of Claimant’s argument, I do not have the authority to change or reinterpret the regulations. Because Respondent was not acting as an OFF, Claimant’s claim under 46 C.F.R. § 515.32 is **DENIED**.

¹³ Regardless of whether Respondent was registered as an OFF, or admitted to being an OFF (*see* FOF, ¶ 2), it did not act as an OFF in relation to the cargo at issue. The respondent must be acting as a regulated entity in relation to the conduct at issue for the Commission to have jurisdiction. (*See Auction Block Co. v. Fed. Mar. Comm’n*, 606 Fed. App’x. 347, 347-48 (9th Cir., 2015) (holding that the Commission lacked jurisdiction where the respondent city, which provided terminal facilities to common carriers, was not a marine terminal operator as to a dispute arising out of the city’s fish dock)). Therefore, section 515.32 is inapplicable.

V. CONCLUSION

For the reasons discussed above, I **HEREBY ORDER** that Claimant's Claim is **DENIED** and **DISMISSED**. It is

FURTHER ORDERED that this matter is **DISCONTINUED**.

SO ORDERED

Richard C.

Ambrow Jr -S

Richard Ambrow
Small Claims Officer

Digitally signed by Richard C.
Ambrow Jr -S

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